Singapore Company Update

UOB

Bloomberg: UOB SP | Reuters: UOBH.SI

Refer to important disclosures at the end of this report

DBS Group Research . Equity

20 Feb 2025

BUY

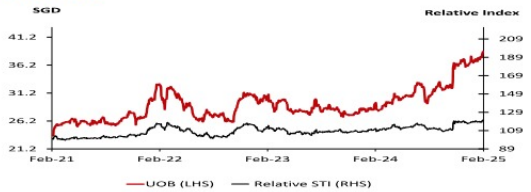
Last Traded Price (19 Feb 2025): SGD38.58 (STI : 3,934.04)
Price Target 12-mth: SGD43.00 (12% upside) (Prev SGD37.90)

Analysts
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Singapore Research Team

What's New

- 4Q24 revenue missed consensus by 4% while net profit ahead by 1%
- Non-interest income was flat y/y but fell 26% q/q from 3Q24's high; higher specific allowance from 2 US accounts
- Announces SGD3bn package to return capital over 3 years, including SGD0.50 special dividend and SGD2bn share buyback
- Maintain BUY, TP lifted to SGD43

Price Relative



Forecasts and Valuation

FY Dec (SGDmn)	2023A	2024A	2025F	2026F
Pre-prov. Profit	7,691	7,956	8,493	9,033
Net Profit	5,711	6,045	6,320	6,724
Net Pft (Pre Ex.)	6,061	6,233	6,320	6,724
Net Pft Gth (Pre-ex) (%)	25.8	2.8	1.4	6.4
EPS (S cts)	339	359	375	399
EPS Pre Ex. (S cts)	360	370	375	399
EPS Gth Pre Ex (%)	26	3	1	6
Diluted EPS (S cts)	339	359	375	399
PE Pre Ex. (X)	10.7	10.4	10.3	9.7
Net DPS (S cts)	170	179	191	203
Div Yield (%)	4.4	4.6	5.0	5.3
ROAE Pre Ex. (%)	12.7	12.6	12.3	12.3
ROAE (%)	12.7	12.6	12.3	12.3
ROA (%)	1.1	1.1	1.1	1.1
BV Per Share (S cts)	2,742	2,950	3,134	3,329
P/Book Value (x)	1.4	1.3	1.2	1.2
Earnings Rev (%):			(1)	3
Consensus EPS (S cts):			359	379
Other Broker Recs:		B: 16	S: 0	H: 3

Source of all data on this page: Company, DBS, Bloomberg

Long-awaited capital distribution strategy

Investment Thesis:

Growing an enlarged franchise. UOB's acquisition of Citigroup's consumer businesses in Indonesia, Malaysia, Thailand, and Vietnam allows it to accelerate, scale up, and deepen its ASEAN franchise, the effective execution of which remains key to long-term synergies, with management expressing confidence in higher structural return on equity (ROE) of >13% by FY26F. Integration is on track, as UOB continues to leverage on an enlarged base of ~8.5mn customers.

SGD 3bn package to return surplus capital over 3 years, better growth in 2025. As part of the capital distribution strategy, the board has announced a SGD3 bn package to return surplus capital over 3 years. This comprises of 50 Scents special dividend amounting to a SGD0.8bn payout over 2 tranches in 2025, and SGD2bn share buyback with completion committed over 3 years. Management has guided for high-single-digit loan growth and double-digit fee income growth to drive FY25F earnings.

Keep watch on asset quality. We remain watchful of asset quality risks in the uncertain macroeconomic and high-interest rate environment, especially with regard to commercial real estate (CRE) exposures. UOB's average loan-to-value (LTV) for office CRE continues to be ~50%, providing a buffer in the event underlying collateral valuations collapse.

Maintain BUY, higher TP of SGD43. Our TP is based on the Gordon Growth Model (14% ROE, 3% growth, and 11% cost of equity), representing 1.3x FY26F, <1SD above UOB's average 15-year historical forward P/BV multiple. We believe higher ROE trajectory alongside active capital management plans to return capital to shareholders are positives for the stock. UOB's share price remains well supported by its strong provisions buffer of 99% and forward dividend yield of ~5.4%, with potential upside for higher dividends.

Key Risks

Deteriorating asset quality. Higher-than-expected non-performing loans (NPLs), high inflationary pressure, and recessionary risks could unwind expectations of credit cost and NPL declines, thus posing risks to earnings. A downturn in the credit cycle typically leads to a decline in banks' share prices.

Fed cuts. Faster-than-expected Fed cuts also pose downside risks to our earnings estimates.

At A Glance

Issued Capital (mn shrs)	1,672
Mkt. Cap (SGDmn/USDmn)	64,492 / 48,108
Major Shareholders (%)	
Wee Investments Pte	8.0
Wah Hin & Co Pte Ltd	5.2
Free Float (%)	86.8
3m Avg. Daily Val (USDmn)	57.0

GIC Industry : Financial / Banks

DBS Insights Direct

Watchlist the stock on Insights Direct to receive prompt updates

ed: JS/ sa: AS, PY, CS

WHAT'S NEW

SGD3bn package to return surplus capital over next three years

4Q24 revenue below consensus by 4% while net profit ahead by 1%. Revenue came in at SGD3,461mn (+1% y/y, -10% q/q), while net profit was SGD1,523mn (+9% y/y, -5% q/q). Core net profit after tax, excluding Citi integration costs (net of tax) of SGD17mn, was SGD1,540mn (+3% y/y, -6% q/q). Net interest income (NII) at SGD2,451mn (+2% y/y, flat q/q) was driven by asset growth, offset by impact from interest rate cuts as 4Q24 NIM moderated to 2.00% on lower benchmark rates. Operating costs increased 6% y/y, declined 2% q/q to SGD1,558mn, leading to a cost-to-income (C/I) ratio excluding/including one-off Citi integration costs, of 45.0%/45.6% (3Q24: 41.5%/42.4%).

Non-interest income flat y/y, declined 26% q/q. Net fee income came in at SGD567mn (flat y/y, -10% q/q) as 4Q24 fees eased from last quarter's high alongside seasonally softer quarter for loan-related and wealth activities. Other non-interest income of SGD443mn (+1% y/y, -40% q/q) eased from an exceptional 3Q24 that had benefitted from market volatilities.

Lower credit costs at 25bps; NPL stable at 1.5%. 4Q24 credit cost lower q/q at 25bps (3Q24: 34bps). General allowance performing loans coverage decrease q/q to 0.8%. Total loan allowances of SGD212mn, 25bps (3Q24: SGD281mn, 34bps), including general allowances (stage 1+2): -SGD227mn, -27bps (3Q24: -SGD15mn, -2bps) and specific allowances (stage 3): SGD439mn, 52bps (3Q24: SGD296mn, 36bps) saw an uptick driven by 2 accounts in the US which saw a sharp decline in collateral values. New NPA formation was higher at SGD514mn (3Q24: SGD212mn, average of SGD322mn for last 4 quarters). NPL ratio remained stable at 1.5% (flat y/y and q/q).

Management revised cost-to-income ratio guidance and declared a SGD3 bn package to return surplus capital over 3 years. For FY2025, management continues to guide for a high-single-digit loan growth, double-digit fee growth, higher total income and credit costs are anticipated to be within 25-30bps. However, management has revised its cost-to-income ratio guidance to be around 42% (previous: cost-to-income ratio at 41% to 42%). As part of the capital distribution strategy, the board has announced a SGD3bn package to return surplus capital over 3 years. The package comprises of 50 Scents special dividend amounting to a SGD0.8bn payout over 2 tranches in 2025 and SGD2bn share buyback with completion committed over 3 years.

Takeaways from management briefing:
Asset Quality: The 4Q24 increase in specific provisions was driven by two accounts—one from a network customer and the other from a non-network customer in the US with sharp 30-40% decline in collateral values over a single quarter. SP from Thailand operation merger was quite minimal, stabilising this quarter. In Greater China, asset quality saw a slight deterioration, primarily due to pressures in Hong Kong's real estate sector and some disruptions in China's auto industry.

Capital Management: The SGD2bn share buyback allocation is derived based on the current CET level and comfortable operating range for CET1. The choice of instruments is made based on various considerations to different shareholders with the aim to strike a right balance. There were a few factors influencing the decision such as the 50% payout ratio guidance, market conditions, and the intrinsic value of the stock. A pro forma analysis has been performed to assess the impact of different share buyback strategies. A 2-3 year window signifies confidence in growth opportunities. Management highlights that the share buyback underscores confidence in the bank's business model, supported by sustainable growth and cost discipline, and should be seen as a positive signal of its direction.

Loan growth: At 14% ROE and current CET1 level, a sustainable 8% RWA growth target is achievable. The key drivers of loan books are ASEAN role as a trade hub, rise of digital economy and green economy.

NIM: NIM decreased by 5bps for the quarter, largely due to interest rate cuts. Management expects rate cuts to occur in the second half of this year. Despite this, management believes NIM should remain stable at around 2%. There may be some minor fluctuations in Q1, but stability expected for the full year.

Tax Rate: The tax rate in 4Q was particularly low due to adjustments. Looking ahead to next year, with the introduction of a new tax regime, the rate will be higher, but not as high compared to competitors. The increase will be marginal as most of the bank's key markets are already operating above the minimum tax thresholds, with the primary increase from Singapore.

CIR guidance: The bank guides for a low 40s cost-to-income ratio which aims to strike a balance between managing new cost elements that have emerged, particularly in compliance and regulation where the costs have risen significantly. In addition, the bank intends to accelerate technology replacements to address obsolescence and allocate resources for transformation to drive productivity with technology.

Company Background

UOB provides a wide range of financial services through its global network of branches, offices, subsidiaries, and associates: Personal financial services, private banking, commercial and corporate banking, investment banking, corporate finance, capital market activities, treasury services, futures broking, asset management, venture capital management, insurance, and stockbroking services.

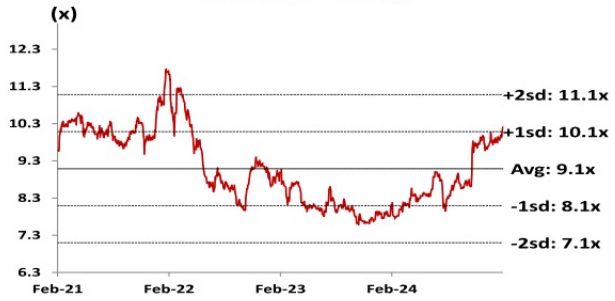
Quarterly / Interim Income Statement (SGDmn)

FY Dec	4Q2023	3Q2024	4Q2024	% chg y/y	% chg q/q
Net Interest Income	2,404	2,460	2,451	2.0	(0.4)
Non-Interest Income	1,007	1,374	1,010	0.3	(26.5)
Operating Income	**3,411**	**3,834**	**3,461**	**1.5**	**(9.7)**
Operating Expenses	(1,480)	(1,597)	(1,566)	5.8	(1.9)
Pre-Provision Profit	**1,931**	**2,237**	**1,895**	**(1.9)**	**(15.3)**
Provisions	(152)	(304)	(227)	49.3	(25.3)
Associates	22.0	25.0	40.0	81.8	60.0
Exceptionals	(94.0)	(28.0)	(17.0)	81.9	(39.3)
Pretax Profit	**1,707**	**1,930**	**1,691**	**(0.9)**	**(12.4)**
Taxation	(304)	(320)	(168)	(44.7)	(47.5)
Minority Interests	0.0	0.0	0.0	-	-
Net Profit	**1,403**	**1,610**	**1,523**	**8.6**	**(5.4)**
Growth (%)					
Net Interest Income Gth	(1.0)	2.5	(0.4)		
Net Profit Gth	1.5	13.0	(5.4)		
Key ratio (%)					
NIM	2.1	2.1	2.0		
NPL ratio	1.5	1.5	1.5		
Loan-to deposit	83.3	83.3	83.6		
Cost-to-income	43.4	41.7	45.2		
Total CAR	16.6	18.4	18.2		

Source of all data: Company, DBS

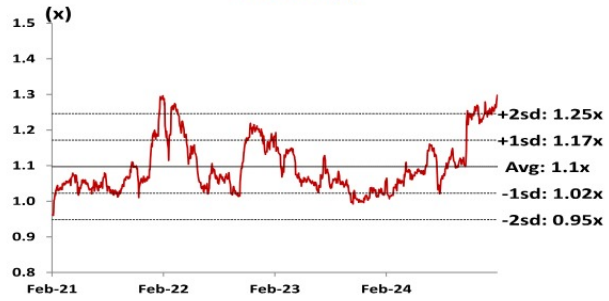
Historical PE and PB band

Forward PE Band (x)



Source: Bloomberg, DBS estimates

PB band (x)



Source: Bloomberg, DBS estimates

Key Assumptions

FY Dec	2022A	2023A	2024A	2025F	2026F
Gross Loans Growth	2.9	0.5	5.2	8.0	8.0
Customer Deposits Growth	4.5	4.6	4.8	5.0	5.0
Yld. On Earnings Assets	2.9	4.8	4.9	4.5	4.4
Avg Cost Of Funds	1.1	2.9	3.0	2.7	2.7

Income Statement (SGDmn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Net Interest Income	8,343	9,679	9,674	9,970	10,190
Non-Interest Income	3,232	4,253	4,620	4,770	5,215
Operating Income	11,575	13,932	14,294	14,740	15,405
Operating Expenses	(5,284)	(6,241)	(6,338)	(6,247)	(6,372)
Pre-provision Profit	6,291	7,691	7,956	8,493	9,033
Provisions	(603)	(921)	(926)	(972)	(1,023)
Associates	97.0	93.0	121	121	121
Exceptionals	0.0	0.0	0.0	0.0	0.0
Pre-tax Profit	5,785	6,863	7,151	7,643	8,131
Taxation	(1,202)	(1,138)	(1,092)	(1,299)	(1,382)
Minority Interests	(10.0)	(14.0)	(14.0)	(22.9)	(24.4)
Preference Dividend	0.0	0.0	0.0	0.0	0.0
Net Profit	4,573	5,711	6,045	6,320	6,724
Net Profit bef Except	4,573	5,711	6,045	6,320	6,724
Growth (%)					
Net Interest Income Gth	30.6	16.0	(0.1)	3.1	2.2
Net Profit Gth	12.2	24.9	5.8	4.6	6.4
Margins, Costs & Efficiency (%)					
Spread	1.8	1.9	1.8	1.8	1.7
Net Interest Margin	1.9	2.1	2.0	2.0	1.9
Cost-to-Income Ratio	45.7	44.8	44.3	42.4	41.4
Business Mix (%)					
Net Int. Inc / Opg Inc.	72.1	69.5	67.7	67.6	66.1
Non-Int. Inc / Opg inc.	27.9	30.5	32.3	32.4	33.9
Fee Inc / Opg Income	18.5	16.0	16.8	18.5	20.5
Oth Non-Int Inc/Opg Inc	9.4	14.5	15.6	13.9	13.3
Profitability (%)					
ROAE Pre Ex.	10.6	12.7	12.6	12.3	12.3
ROAE	10.6	12.7	12.6	12.3	12.3
ROA Pre Ex.	1.0	1.1	1.1	1.1	1.1
ROA	1.0	1.1	1.1	1.1	1.1

Source: Company, DBS

Quarterly / Interim Income Statement (SGDmn)

FY Dec	4Q2023	1Q2024	2Q2024	3Q2024	4Q2024
Net Interest Income	2,404	2,362	2,401	2,460	2,451
Non-Interest Income	1,007	1,161	1,075	1,374	1,010
Operating Income	**3,411**	**3,523**	**3,476**	**3,834**	**3,461**
Operating Expenses	(1,480)	(1,482)	(1,459)	(1,597)	(1,566)
Pre-Provision Profit	**1,931**	**2,041**	**2,017**	**2,237**	**1,895**
Provisions	(152)	(163)	(232)	(304)	(227)
Associates	22.0	26.0	31.0	25.0	40.0
Exceptionals	(94.0)	(79.0)	(64.0)	(28.0)	(17.0)
Pretax Profit	**1,707**	**1,825**	**1,752**	**1,930**	**1,691**
Taxation	(304)	(338)	(327)	(320)	(168)
Minority Interests	0.0	0.0	0.0	0.0	0.0
Net Profit	**1,403**	**1,487**	**1,425**	**1,610**	**1,523**
Growth (%)					
Net Interest Income Gth	(1.0)	(1.7)	1.7	2.5	(0.4)
Net Profit Gth	1.5	6.0	(4.2)	13.0	(5.4)

Balance Sheet (SGDmn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Cash/Bank Balance	49,419	52,350	38,577	40,506	42,531
Government Securities	31,878	38,280	46,851	47,556	48,272
Inter Bank Assets	35,410	35,093	37,432	40,354	43,512
Total Net Loans & Advs.	315,355	317,005	333,930	359,996	388,172
Investment	39,789	50,793	48,472	53,375	59,088
Associates	1,258	1,266	1,302	1,423	1,544
Fixed Assets	3,453	3,782	4,169	1,667	1,667
Goodwill	4,900	4,984	4,979	4,142	4,142
Other Assets	22,798	19,967	21,952	23,666	25,518
Total Assets	**504,260**	**523,520**	**537,664**	**572,684**	**614,446**
Customer Deposits	368,553	385,469	403,978	424,177	445,386
Inter Bank Deposits	24,537	32,371	19,735	29,722	45,103
Debts/Borrowings	40,593	36,280	41,367	41,367	41,367
Others	26,971	22,932	22,627	24,341	26,194
Minorities	240	242	224	247	271
Shareholders' Funds	43,366	46,226	49,733	52,830	56,125
Total Liab& S/H's Funds	**504,260**	**523,520**	**537,664**	**572,684**	**614,446**

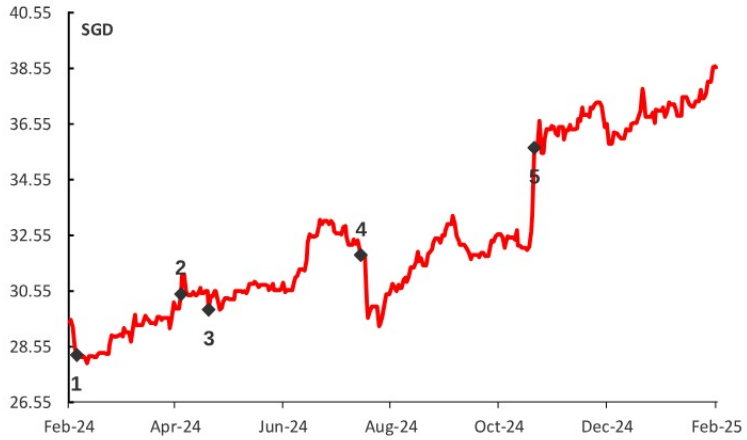
Source: Company, DBS

Financial Stability Measures (%)

FY Dec	2022A	2023A	2024A	2025F	2026F
Balance Sheet Structure					
Loan-to-Deposit Ratio	85.6	82.2	82.7	84.9	87.2
Net Loans / Total Assets	62.5	60.6	62.1	62.9	63.2
Investment / Total Assets	7.9	9.7	9.0	9.3	9.6
Cust . Dep./Int. Bear. Liab.	85.0	84.9	86.9	85.6	83.7
Interbank Dep / Int. Bear.	5.7	7.1	4.2	6.0	8.5
Asset Quality					
NPL / Total Gross Loans	1.6	1.5	1.5	1.5	1.5
NPL / Total Assets	1.0	0.9	1.0	1.0	1.0
Loan Loss Reserve Coverage	85.1	85.1	75.5	87.9	98.3
Provision Charge-Off Rate	0.2	0.3	0.3	0.3	0.3
Capital Strength					
Total CAR	16.7	16.6	18.7	16.3	16.2
Tier-1 CAR	13.3	13.4	15.5	13.6	13.6

Source: Company, DBS

Target Price & Ratings 12-mth History



S.No.	Date of Report	Closing Price	12-mth Target Price	Rating
1:	23 Feb 24	28.25	30.30	HOLD
2:	22 Apr 24	30.45	34.50	BUY
3:	08 May 24	29.88	34.50	BUY
4:	02 Aug 24	31.83	34.50	BUY
5:	08 Nov 24	35.69	37.90	BUY

***Note** : Share price and Target price are adjusted for corporate actions.*

Source: DBS

Analysts: Rui Wen LIM

Singapore Research Team

DBS Group Research recommendations are based on an Absolute Total Return* Rating system, defined as follows:
STRONG BUY (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)
BUY (>15% total return over the next 12 months for small caps, >10% for large caps)
HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)
SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

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Sources for all charts and tables are DBS unless otherwise specified.

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